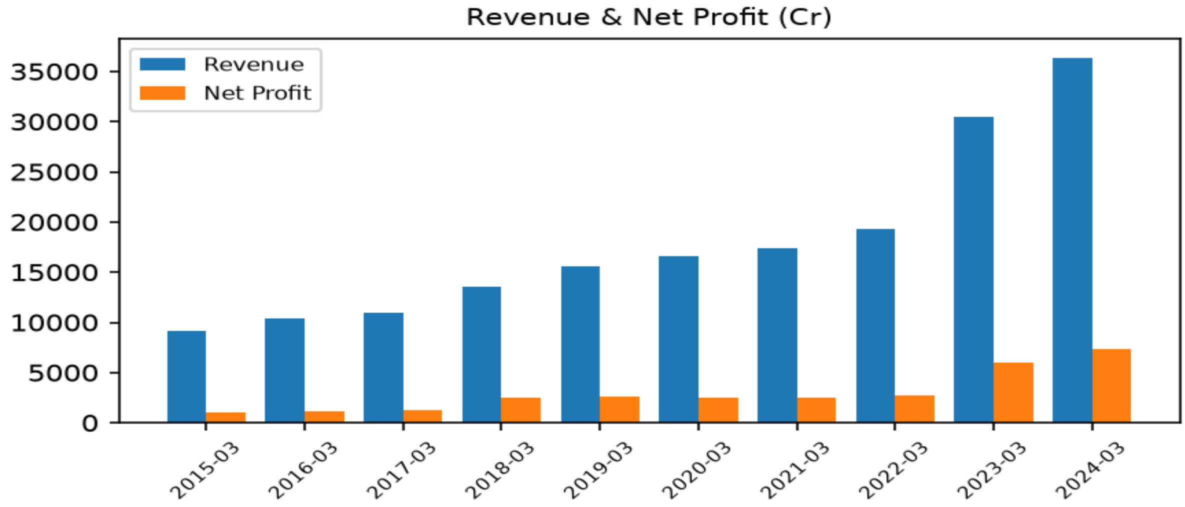
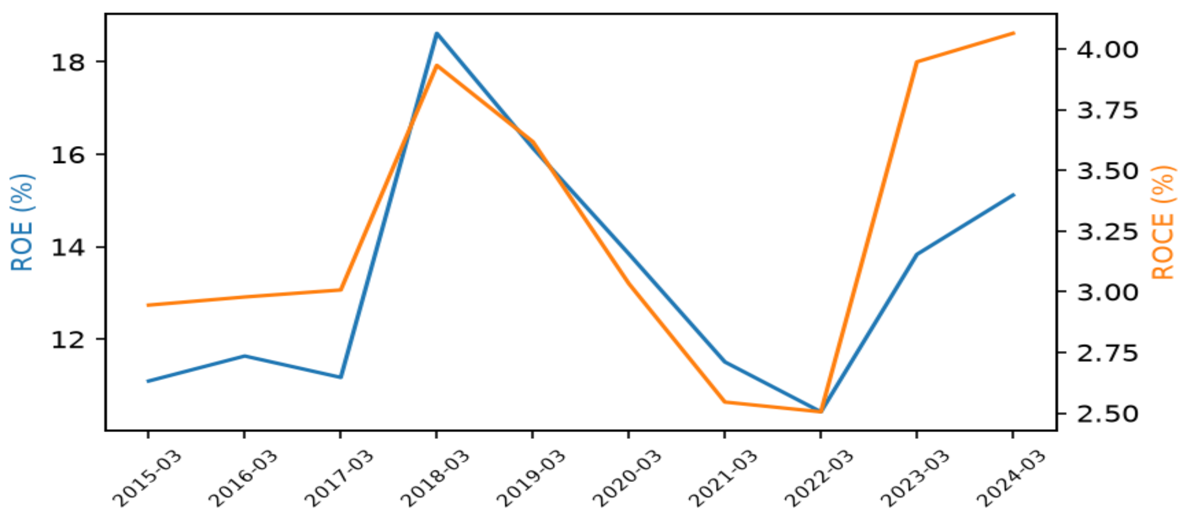
Shriram Finance Ltd (SHRIRAMFIN)

ROE 15.1%	**ROCE** 4.1%	**Net Profit Margin** 20.3%
D/E 4.0	**Revenue CAGR 5yr** 18.6%	**Free Cash Flow (Cr)** -31359.0

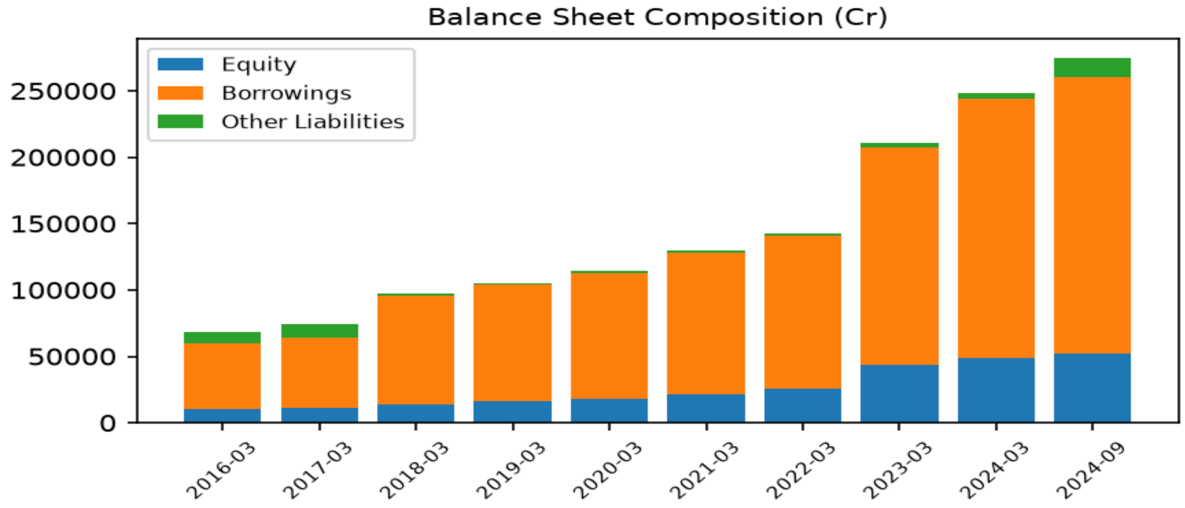
Revenue & Net Profit (10yr)



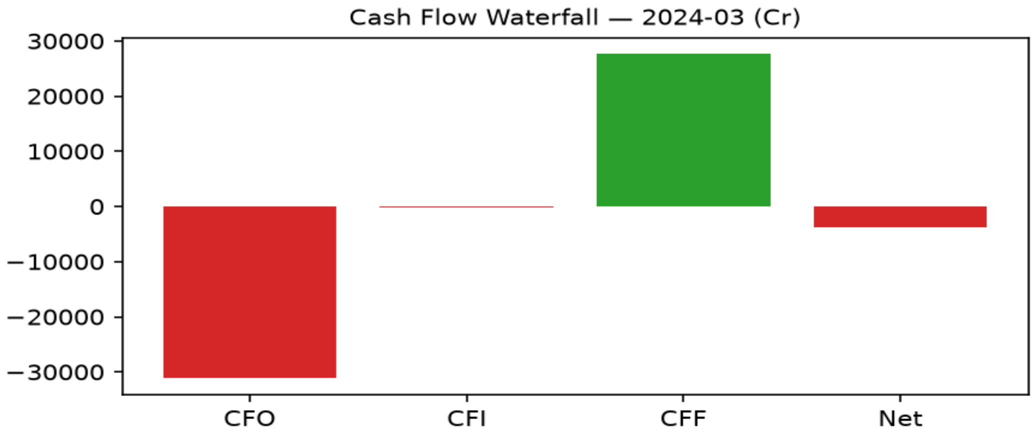
ROE & ROCE (10yr)



Balance Sheet Composition



Cash Flow (Latest Year)



Pros

✓ Revenue growing at above 15% CAGR over 5 years reflects strong business momentum
✓ Operating profit margin above 25% indicates strong pricing power and cost discipline
✓ Net profit compounding at above 20% over 5 years creates significant shareholder value
✓ Return on equity improving for 3 consecutive years shows strengthening business quality
✓ Revenue growing slower than profits shows improving operating leverage and scale benefits

Cons

✗ Free cash flow negative for 3 consecutive years raises concern about cash generation quality
✗ Interest coverage ratio below 1.5x indicates the company is at risk of not meeting its debt obligations
✗ Return on capital employed below 10% suggests the business is not generating sufficient returns on invested capital
✗ Net debt exceeding 3 times EBITDA is a high leverage ratio and limits financial flexibility

Capital Allocation: Growth Funded by Debt